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Enron Capital & Trade Resources Corp.

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cc:

Subject: DJ Calif. ISO Solicits Bids For Short-Term Power Contracts

17:16 GMT 7 December 2000 *DJ Calif. ISO Solicits Bids For Short-Term Power Contracts

(MORE) Dow Jones Newswires 12-07-00
1216EST

*DJ Calif ISO Seeks Cost-Based Power Contracts Beginning Sat

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1217EST Bids Due 2 P.M. PST Thu

LOS ANGELES (Dow Jones)--Faced with a severe power supply deficiency for the remainder of the year, California's grid operator is seeking short-term, cost-based electricity contracts that could begin as early as Saturday, according to documents obtained by Dow Jones Newswires Thursday. Bids are due 2 p.m. PST (2200 GMT) Thursday, and contracts are expected to be signed 5 p.m. PST.

The state's Independent System Operator sent a notice to generators appealing for additional resources equal to 5% of the ISO's projected peak load for the month of December, according to the notice. The actual number of megawatts was undetermined. However, market sources put the figure around 5,000 MW.

The ISO is looking for the lowest possible bid.

"Cost-recovery will be limited to verifiable start-up costs, fuel costs, emissions costs, and an amount equal to the lesser of 10% of production costs or \$25 a megawatt-hour," the notice states.

With 11,000 MW of generation off-line - about one-quarter of the state's capacity - due to planned and unplanned outages and colder-than-normal temperatures in the Northwest that limit the amount of power California can import, the ISO has been forced to go out of market and pay premium rates for wholesale electricity in order to keep the state plugged in.

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(END) Dow Jones Newswires 12-07-00

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